

BUSINESS HIGH-Level Assessment Exam #2 (2026-SM1)

PRACTICE TEST B

Covering: Unit 1, LPs 1-5, 1-6, 1-7, 1-8, 1-9 and 1-10

STUDENT NAME: _____ PERIOD: _____

WRITE HONOR CODE/ STUDENT SIGNATURE BELOW:

STUDENT SIGNATURE: _____

1) Operations is defined as: (True/False)

The daily functioning of an organization, managing the inputs and outputs, and includes manufacturing, purchasing, and logistics.

TRUE FALSE

MATCH the FOLLOWING types of competition:

- Direct
- Indirect
- Non-price

2) _____ : Coca-Cola vs Pepsi

3) _____ : Driving, flying, or taking a Greyhound bus to get to Los Angeles

4) _____ : Apple sells the iPhone as "easier and smarter," not cheaper

5) Tell me 2 of the FOUR types of business ownership:

_____ and _____

6) Choose one of the 2 above and explain who makes the decisions and who pays the taxes:

Ownership type: _____

Explanation: _____

7) Is the liability of your choice above limited or unlimited?

8) TRUE / FALSE _____ Relevant data is only the important and useful data, collected and stored to make decisions.

9) TRUE / FALSE _____ Risk Management is defined as:

A business function that involves people, processes, and systems that collect, organize, store and secure relevant data and information.

***Of the CURRENT BUSINESS AND TECHNOLOGY TRENDS, fill in the FOLLOWING:**

10) _____ : a general change in the way business develops (today, mostly driven by technology).

11) _____ : a computer program or machine that thinks and learns like humans: it reasons and makes decisions.

*** Match the following:**

Audit
Cyber Security
Data Integrity
Risk Management

12) _____ : An independent review of a company's records to check their safety, integrity, and accuracy (it finds missing money).

13) _____ : Protecting networks, devices, and data from unauthorized access or criminal use.

14) _____ : Keeping data accurate and valid over its whole lifecycle.

15) _____ : Predicting what could go wrong and acting ahead to avoid it: audits, safety, integrity, accuracy.

16) TRUE / FALSE _____ The industry standard gross profit margin for manufacturers is 25-35%.

17) TRUE / FALSE _____ An S corporation can have an unlimited number of shareholders.

18) Which business function collects, organizes, stores, and secures the BELOW? _____

***Match the following:**

- Raw Data
- Relevant Data
- Trade Secret
- Intellectual Property
- Intangible Asset

19) Information or data before it becomes useful information (100 people attended a movie premiere).

Correct answer: _____

20) Only the important and useful data, collected and stored to make decisions (of 100 people, 50 were 40-60 years old).

Correct answer: _____

21) A formula or process not known outside the company, with economic value, like the Coca-Cola formula.

Correct answer: _____

22) Ideas, inventions, and methods created from the mind or intellect.

Correct answer: _____

23) Anything of value that is not physical in nature.

Correct answer: _____

24) A business plan is the way a company sells its products to customers and makes a profit.

TRUE FALSE

25) Selecting a business model is the most critical part of the business plan because it lets a company:

- A) avoid paying taxes
- B) skip the competitive analysis
- C) become a monopoly
- D) reach its customers, sell its product, and make a profit

26) Nevada Power is the only power company in its area, and the government limits what it can charge. This is an example of a:

- A) regulated monopoly
- B) oligopoly
- C) pure competition
- D) monopolistic competition

*** MATCH THE FOLLOWING:**

- Internet of Things
- Ambient Intelligence
- Machine Learning
- Augmented Reality
- Gig Economy

27) _____: Devices connected to the internet that identify themselves and communicate with other devices and systems (smart refrigerators, thermostats).

28) _____: That connectivity when many objects act in unison: automated checkout, FedEx, Amazon, telemedicine.

29) _____: The way of achieving A.I.: it receives information and makes a decision (face recognition, GPS, purchase suggestions).

30) _____: Contract or side work, often remote and booked through an app: Uber, Lyft, dog walkers.

31) _____: IKEA's app places a sofa into a photo of your living room.

32) TRUE / FALSE _____ A competitive analysis identifies only your competitors' strengths and weaknesses.

33) TRUE / FALSE _____ Quality control is done on every product, every day.

34) What is Operations? Tell me what it manages, with an example of an input and an output. (2 points)

35) Name the 3 areas where business ownership types differ. (3 points)

1. _____
2. _____
3. _____

36) Liability. Define/ Explain the difference between unlimited and limited liability: (2 points)

MATCH and EXPLAIN WITH EXAMPLE:

- C Corporation
- S Corporation
- B Corporation

37)_____ is taxed twice: on company profits and on shareholders' dividends (2 points)

Explanation:_____

38)_____ passes its taxes through to its shareholders (2 points)

Explanation:_____

39)_____ puts benefit to society over profit (2 points)

Explanation:_____

40) Explain how competition helps the economy, step by step. Start with a company that keeps beating its competitors. (4 points)

1. _____
2. _____
3. _____
4. _____

ANSWER KEY: PRACTICE TEST B

Questions 1-33 are 1 point each. 34-40 are worth 17 points. Total: 50 points.

- 1) **TRUE.** Word for word the definition of Operations.
- 2) **Direct.** The same product: direct competition.
- 3) **Indirect.** Different products that meet the same need: indirect competition.
- 4) **Non-price.** Competing on features instead of price is non-price competition.
- 5) **Any 2 of: sole proprietorship, partnership, LLC, corporation.** The four types are sole proprietorship, partnership, LLC and corporation.
- 6) **Sole proprietorship: the one owner makes all the decisions and pays all the taxes. Partnership: the partners share decisions; profits and taxes pass through to them. LLC: the owners (members) decide; taxes pass through to them. C corporation: a board of directors; the company and its shareholders are both taxed.**
- 7) **Sole proprietorship and general partnership: unlimited. LLC, LLP, and corporations: limited.** A sole proprietor has unlimited liability. LLCs, LLPs and corporations limit the loss to what was invested.
- 8) **TRUE.** Starred on the board.
- 9) **FALSE.** That's Information Management. Risk management predicts what could go wrong and acts ahead: audits, safety, integrity, accuracy.
- 10) **Business Trend.** A business trend is a general change in the way business develops.
- 11) **Artificial Intelligence (A.I.).** Thinks and learns like a human: A.I. Machine learning is the way of achieving it.
- 12) **Audit.** An audit, by inside staff or an outside firm, finds missing money.
- 13) **Cyber Security.** Cyber security.
- 14) **Data Integrity.** Data integrity is accuracy and validity over time.
- 15) **Risk Management.** Risk management (starred on the board).
- 16) **TRUE.** Tech companies are about 70%.
- 17) **FALSE.** S for shareholders, 100. A C corporation can sell unlimited shares.
- 18) **Information Management.** Information management collects, organizes, stores and secures them.
- 19) **Raw Data.** Not yet useful: raw data.
- 20) **Relevant Data.** Organized to help a decision: relevant data.
- 21) **Trade Secret.** The Coca-Cola formula is the classic trade secret.
- 22) **Intellectual Property.** Intellectual property.
- 23) **Intangible Asset.** Intangible asset.
- 24) **FALSE.** That's the business model. The business plan is the roadmap: how you'll reach your goals and objectives.
- 25) **D) reach its customers, sell its product, and make a profit.** A model exists to reach customers, sell the product and make a profit. Capitalism runs on the profit motive.
- 26) **A) regulated monopoly.** One company, but its prices are regulated so it can't take advantage of customers: a regulated monopoly.
- 27) **Internet of Things.** The Internet of Things.
- 28) **Ambient Intelligence.** Many objects acting together: ambient intelligence.
- 29) **Machine Learning.** Machine learning.
- 30) **Gig Economy.** The gig economy.
- 31) **Augmented Reality.** Augmented reality.
- 32) **FALSE.** It identifies the strengths and weaknesses of your competitors AND your own company.
- 33) **TRUE.** Checking 90 and hoping the other 10 are fine is not quality control.

34) (2 points) Operations is the daily functioning of an organization, where the execution of strategy happens. It manages inputs and outputs through manufacturing, purchasing and logistics. A car maker's inputs are raw materials like rubber and glass; the output is the finished car.

- 1 point: the daily functioning of an organization (where the execution of strategy happens), managing inputs and outputs through manufacturing, purchasing, and logistics.
- 1 point: an example, like a car maker's inputs (rubber, glass) and its output (the car).

35) (3 points) Taxes, liability, decision making (starred on the board).

- 1 point each: taxes, liability, decision making.

36) (2 points) Liability is the legal responsibility of a person or company for its actions, debts and obligations. With unlimited liability, someone suing can take your personal assets; with limited liability, you can only lose the money you invested.

- 1 point: the legal responsibility of an individual or entity for actions, debt, and obligations.
- 1 point: unlimited means they can come after your personal assets (house, savings); limited means you can only lose what you invested.

37) C Corporation. C corporation: double taxation, the company pays tax on profits and shareholders pay tax on dividend checks. Amazon, Ford, Cracker Barrel.

- 1 point: C Corporation.
- 1 point: an example, like Amazon, Ford, or Cracker Barrel.

38) S Corporation. S corporation: taxes pass through to the shareholders' personal returns; limited to 100 shareholders. A small pizza or coffee business.

- 1 point: S Corporation.
- 1 point: an example, like a small pizza or coffee business, plus the 100-shareholder limit.

39) B Corporation. B corporation: benefit over profit, though it still makes money for shareholders. Patagonia, Ben & Jerry's.

- 1 point: B Corporation.
- 1 point: an example, like Patagonia (the environment) or Ben & Jerry's.

40) (4 points) Revenue grows, the company expands and builds plants, it hires people, and working people spend money, so unemployment goes down.

- 1 point: its revenue keeps increasing.
- 1 point: it expands into new regions or goes global and builds more plants.
- 1 point: it hires more people.
- 1 point: working people earn and spend money, unemployment goes down, and society benefits.